

ACM Research

On track to a WFE platform via ECP and AP; cleaning recovery from 2H26; OW - better earnings & P/E ahead

ACM Research's 2Q26 results were a solid beat. The company lifted the bottom of 2026 revenue guidance (now: up 25-30% YoY) and indicated 105% YoY growth for orders in 1H26 (in our view, memory >50% of order backlogs). We remain positive on ACMR and see the following catalysts: (1) a cleaning equipment revenue recovery from 2H26 and another phase of structural growth from 2027, driven by SPM tool shipments; (2) significant revenue ramps for electro-chemical plating (ECP) and advanced packaging (AP) equipment; and (3) non-China business expansion (20 tool shipments in 2026). We set our Jun-27 PT at \$110, based on a 32x 2027E P/E. We see a JPMe 70% CAGR for operating profit in 2025-27, the transition to a WFE platform business model (2026E revenue mix: 54% cleaning, 35% ECP and 11% AP) and more project wins in international markets and panel-level packaging ECP as re-rating catalysts.

- Lifting the bottom of 2026 revenue guidance; orders up 105% YoY in 1H26.** ACMR raised its 2026 revenue guidance from \$1.08bn-1.175bn to \$1.125bn-1.175bn, implying 25-30% YoY growth. We forecast revenue growth of 5% QoQ in 3Q26 and 13% QoQ in 4Q26, achieving \$1.18bn for 2026E. ACMR reiterated that shipment growth would outpace revenue growth in 2026. ACMR's shipment lead time is 6-8 months, with some constraints in component supply. ACMR's orders increased 105% YoY in 1H26, with a heavier emphasis on newer products. We believe memory made up >50% of ACMR's order backlogs thanks to very strong demand and ACMR's leading market share. ACM Research (Shanghai) (ACMR-SH) will release its backlog figures as of 30-Sep (or early October), and we expect this to be a positive event. Last, it seems that ACMR is not keen to raise equipment prices, as it has prepared key component inventories and there was not much price hike from its component suppliers.
- Cleaning revenue growth slowdown in 2025-1H26; recovery from 2H26E.** Cleaning equipment revenue declined 10% YoY and 25% HoH in 1H26, to \$255mn, and made up only 49% of total revenue, a significant drop vs. 69% in 2025. ACMR expects cleaning revenue to grow YoY in 2026 (JPMe up 2% YoY), driven by a strong recovery in 2H26. For single-wafer SPM cleaning (a high-end category that makes up one-third of cleaning WFE TAM), ACMR encountered some issues after the first batch of deliveries during 2025, but had fixed them by end-2025. With strong growth in purchase orders in 1H26, we believe ACMR could ship 20 single-wafer SPM tools in 2026 (implying \$60mn-80mn in revenue) and potentially double the shipments in 2027, re-initiating structural growth in cleaning revenue.
- ECP and AP leading growth, a platform in the making.** We model ECP and AP equipment at 35% and 11% of revenue in 2026, respectively, thanks to 108% and 68% YoY growth, respectively. AMCR is the global No.3 ECP equipment player and is riding a localization tailwind, given that the No.1 and No.2 players are US-based. ACMR continues to make breakthroughs in panel-level packaging (PLP) ECP tools, where it leads the industry. ACMR has received a production order for one 510x515mm PLP ECP from an existing customer in China, with delivery scheduled for 1H27. It has also received an

Overweight

ACMR, ACMR US

Price (07 Aug 26):\$83.80

▲ Price Target (Jun-27):\$110.00

Prior (Dec-26):\$70.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Revenue - 26E (\$ mn)	1,148	1,180	2.8%
Revenue - 27E (\$ mn)	1,489	1,670	12.1%
Adj. net income - 26E (\$ mn)	133	175	31.7%
Adj. net income - 27E (\$ mn)	182	233	27.8%
Adj. EBIT - 26E (\$ mn)	173	194	12.1%
Adj. EBIT - 27E (\$ mn)	249	314	26.3%

Quarterly Forecasts (FYE Dec)

Adj. net income (\$ mn)	2025A	2026E	2027E
Q1	20	19A	37
Q2	29	89A	54
Q3	36	24	65
Q4	8	43	77
FY	93	175	233

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	62	42	29	35	81
Growth	32	61	56	72	17
Momentum	5	20	14	34	78
Quality	71	61	62	83	50
Low Vol	100	98	98	98	100
ESGQ	99	99	98	100	-

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 11 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	112.4%	-11.5%	41.6%	245.3%
Rel	90.1%	-13.2%	34.7%	208.3%

Company Data

Shares O/S (mn)	65
52-week range (\$)	127.19-23.87
Market cap (\$ mn)	5,455
Exchange rate	1.00
Free float (%)	89.6%
3M ADV (mn)	1.66
3M ADV (\$ mn)	143.4
Volatility (90 Day)	105
Index	RUSSELL 2000
BBG ANR (Buy Hold Sell)	7 1 0

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E
Financial Estimates			
Revenue	901	1,180	1,670
Adj. EBIT	109	194	314
Adj. EBITDA	126	220	350
Adj. net income	93	175	233
Adj. EPS	1.45	2.60	3.43
BBG EPS	1.76	1.68	2.85
Cashflow from operations	(80)	121	(169)
FCFF	(124)	(107)	(249)
Margins and Growth			
Revenue Growth Y/Y (%)	15.2%	30.9%	41.5%
EBIT margin	12.1%	16.4%	18.8%
EBIT Growth Y/Y (%)	(27.5%)	77.2%	62.2%
EBITDA margin	13.9%	18.6%	21.0%
EBITDA Growth Y/Y (%)	(21.9%)	74.8%	59.6%
Net margin	10.4%	14.8%	13.9%
Adj. EPS growth	(12.7%)	78.4%	32.2%
Ratios			
Adj. tax rate	9.8%	10.2%	10.0%
Interest cover	NM	NM	NM
Net debt/Equity	NM	NM	NM
Net debt/EBITDA	NM	NM	NM
ROE	7.9%	10.3%	11.5%
Valuation			
FCFF yield	(2.3%)	(1.9%)	(4.4%)
Dividend yield	0.2%	0.2%	0.3%
EV/Revenue	5.6	4.2	3.1
EV/EBITDA	40.4	22.4	14.8
Adj. P/E	57.6	32.3	24.4

Summary Investment Thesis and Valuation

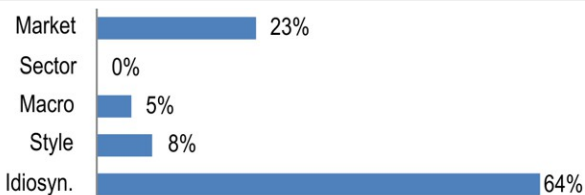
Investment Thesis

WFE is our preferred sector pick in both the China and global semiconductor spaces. We are OW on ACM Research. ACM Research holds a 73% stake in its operating subsidiary, ACM Research (Shanghai). As the third-largest Chinese WFE maker, ACM-SH leads in cleaning and ECP, while expanding into furnace, PECVD and track. We like ACMR's strengthening leadership in cleaning, WFE SAM expansion, advanced packaging solutions, and solid Chinese fab/OSAT customer base.

Valuation

Our Jun-27 PT of \$110 is based on a 32x 2027E P/E, above the historical average plus 2STD of 29x since Jan-022. The higher target multiple reflects structural China WFE demand, a re-rating of global WFE stocks, on-track migration to a "platform" business model, and ongoing global customer expansion.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.54	0.48
Sect: Technology	0.09	0.05
Ind: Semicond & S Equip	0.48	0.28
Macro:		
Crude Oil	-0.38	-0.18
Non-Energy Commodity	-0.29	-0.16
US 10yr Breakeven	-0.21	-0.13
Quant Styles:		
LowVol	-0.14	-0.16
Value	0.03	0.11
Momentum	0.47	0.11

evaluation order for one 310x310mm PLP ECP tool from a leading panel maker in Asia, with delivery scheduled in 4Q26. In our view, solid evaluation results could encourage additional customers to enter the evaluation pipeline. On PECVD, ACMR shipped a second tool to a new customer in 2Q26, expecting qualification by year-end. Last, we believe China will build out its own 2.5D and 3D advanced packaging capacity aggressively in 2026-28, benefiting ACMR's back-end equipment business.

- **2Q26 results a solid beat.** Revenue of \$293mn beat JPMe and consensus by 9%, and grew 27% QoQ and 36 % YoY. GM of 46.0% declined 0.4ppt QoQ and 2.5ppts YoY, beat JPMe and consensus of 44.0-44.2%, and met the target range of 42-48%. Operating profit of \$50mn beat JPMe/consensus by 37%/54% due to revenue and GM beats. GAAP EPS of \$1.31 was 185-198% above JPMe and consensus, given an unrealized gain on short-term investments of \$70mn (mark-to-market changes of investments held by ACMR-SH; no disclosure on exact portfolio companies). Shipments of \$282mn were up 17% QoQ and 36% YoY.
- **Implications - raise earnings estimates and multiple.** We raise our 2026E/27E EPS (GAAP) by 27%/23%, to \$2.6/\$3.4. We set our Jun-27 PT at \$110, based on a 32x 2027E P/E, above the historical average plus 2STD of 29x since Jan-22. Our prior Dec-26 PT of \$70 was based on a 25x 2027E P/E. The target multiple increase reflects structural China WFE demand, a re-rating of global WFE stocks, on-track migration to a WFE platform business model, and ongoing global customer expansion. Notably, the reduced revenue mix toward cleaning equipment, along with a significant step-up in other equipment business, should be positive for the P/E valuation, as investors have been viewing cleaning as a WFE category with more competitive pressure from local equipment peers. Of note, ACMR does not plan to dispose ACMR-SH stakes in the near term; it has enriched its balance sheet.

Estimate revisions

Table 1: J.P. Morgan estimate revisions

\$mn, \$, %, bps

	JPMe - new				JPMe - old				Change			
	3Q26E	4Q26E	2026E	2027E	3Q26E	4Q26E	2026E	2027E	3Q26E	4Q26E	2026E	2027E
Revenue	308	348	1,180	1,670	341	326	1,148	1,489	-10%	7%	3%	12%
Gross Profit	140	160	542	772	155	151	514	671	-10%	6%	5%	15%
Gross margin	45.5%	46.0%	45.9%	46.2%	45.5%	46.5%	44.8%	45.1%	-2 bps	-52 bps	115 bps	118 bps
Operating Profit	51	57	194	314	58	59	173	249	-13%	-2%	12%	26%
Operating margin	16.5%	16.5%	16.4%	18.8%	17.2%	18.0%	15.1%	16.7%	-72 bps	-152 bps	136 bps	212 bps
Pre-tax Profit	35	65	267	340	64	64	196	269	-45%	1%	37%	27%
Pre-tax margin	11.5%	18.5%	22.6%	20.4%	18.9%	19.6%	17.0%	18.0%	-737 bps	-105 bps	559 bps	236 bps
Net Profit (GAAP)	24	43	175	233	44	43	133	182	-45%	0%	32%	28%
Net margin	7.7%	12.4%	14.8%	13.9%	12.8%	13.3%	11.6%	12.2%	-508 bps	-85 bps	326 bps	172 bps
EPS (\$, GAAP)	0.4	0.6	2.6	3.4	0.7	0.7	2.0	2.8	-48%	-4%	27%	23%
Opex	89	103	348	458	96	93	341	422	-7%	11%	2%	8%

Source: J.P. Morgan estimates.

Table 2: J.P. Morgan estimates vs. Bloomberg consensus

\$mn, \$, %, bps

	JPMe				BBG consensus				Difference			
	3Q26E	4Q26E	2026E	2027E	3Q26E	4Q26E	2026E	2027E	3Q26E	4Q26E	2026E	2027E
Revenue	308	348	1,180	1,670	319	337	1,168	1,447	-4%	3%	1%	15%
Gross Profit	140	160	542	772	144	153	530	666	-3%	5%	2%	16%
Gross margin	45.5%	46.0%	45.9%	46.2%	45.0%	45.3%	45.4%	46.0%	46 bps	62 bps	54 bps	21 bps
Operating Profit	51	57	194	314	46	53	173	246	10%	9%	12%	28%
Operating margin	16.5%	16.5%	16.4%	18.8%	14.5%	15.6%	14.8%	17.0%	200 bps	89 bps	159 bps	181 bps
Pre-tax Profit	35	65	267	340	51	53	228	288	-30%	22%	17%	18%
Pre-tax margin	11.5%	18.5%	22.6%	20.4%	15.9%	15.7%	19.5%	19.9%	-436 bps	286 bps	311 bps	48 bps
Net Profit (GAAP)	24	43	175	233	N/A	N/A	N/A	224	N/A	N/A	N/A	4%
Net margin	7.7%	12.4%	14.8%	13.9%	N/A	N/A	N/A	15.4%	N/A	N/A	N/A	-150 bps
EPS (\$, GAAP)	0.4	0.6	2.6	3.4	0.7	0.8	N/A	3.2	-49%	-16%	N/A	8%
Opex	89	103	348	458	97	100	356	420	-8%	2%	-2%	9%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Earnings review

2Q26 results beat on revenue and GM beat and non-op

- **Revenue** of \$293mn beat JPMe and consensus by 9%, and grew 27% QoQ and 36% YoY.
- **Revenue mix** was 45% cleaning, 44% ECP, furnace and others, and 11% advanced packaging (excl. ECP), service and spares.
- **GM** of 46.0% declined 0.4ppt QoQ and 2.5ppts YoY, beat JPMe and consensus of 44.0-44.2%, and met the target range of 42-48%.
- **Operating profit** of \$50mn beat JPMe/consensus by 37%/54% due to revenue and GM beats.
- **Unrealized gain on short-term investments** of \$70mn reflected mark-to-market changes of investments held by ACM Research (Shanghai). There was no disclosure on portfolio companies.
- **GAAP EPS** of \$1.31 was 185-198% above JPMe and consensus.
- **Shipments** of \$282mn were up 17% QoQ and 36% YoY.

Table 3: ACMR 2Q26 results review

\$mn, \$, %, bps

	2Q26					1Q26		2Q25	
	Actual	JPM est.	Diff. %	Consensus	Diff. %	Actual	QoQ %	Actual	YoY %
Revenues	293	269	9%	270	9%	231	27%	215	36%
Gross Profit	135	118	14%	119	13%	107	26%	104	29%
Gross margin	46.0%	44.0%	198 bps	44.2%	179 bps	46.4%	-41 bps	48.5%	-255 bps
Operating Profit	50	36	37%	32	54%	36	37%	32	57%
Operating margin	17.0%	13.5%	351 bps	12.0%	500 bps	15.6%	134 bps	14.7%	227 bps
Pre-tax Profit	136	42	221%	33	312%	31	332%	38	256%
Pre-tax margin	46.3%	15.7%	3,060 bps	12.2%	3,411 bps	13.6%	3,275 bps	17.7%	2,862 bps
Net Profit	89	29	210%	24	275%	19	374%	29	207%
Net margin	30.4%	10.7%	1,971 bps	8.8%	2,159 bps	8.1%	2,226 bps	13.5%	1,690 bps
EPS (\$, GAAP)	1.31	0.44	198%	0.46	185%	0.29	359%	0.45	189%
Opex	85	82	4%	87	-2%	71	19%	73	17%
Shipments	282	N/A	N/A	N/A	N/A	241	17%	206	36%

Source: Bloomberg Finance L.P. estimates, Company data and J.P. Morgan estimates.

Valuation

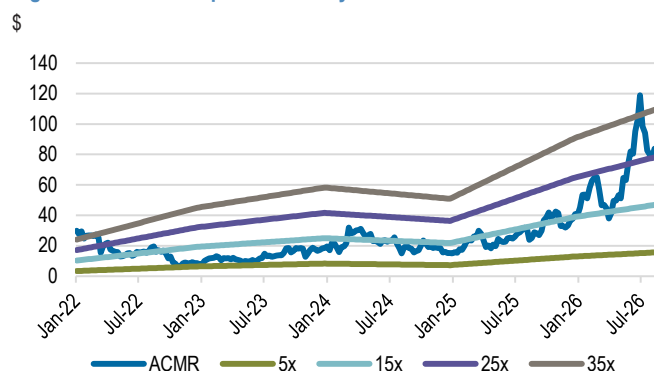
Our Jun-27 PT of \$110 is based on a 32x 2027E P/E, above the historical average plus 2STD of 29x since Jan-22. The higher target multiple reflects structural China WFE demand, a re-rating of global WFE stocks, on-track migration to a “platform” business model, and ongoing global customer expansion.

Table 4: ACM three-/one-year historical FTM and TTM valuation

(x)	Trailing P/E		12M Fwd P/E		Trailing P/B		12M Fwd P/B	
Since	Jan-22	Jan-24	Jan-22	Jan-24	Jan-22	Jan-24	Jan-22	Jan-24
STD	9.8	7.2	7.1	3.1	0.6	0.4	0.6	0.4
Max	58.7	40.3	43.4	23.8	4.7	2.8	4.0	2.3
Minimum	9.0	9.0	5.0	9.7	0.5	1.0	0.5	0.7
Median	16.3	16.0	13.3	13.3	1.5	1.5	1.2	1.1
Average	20.3	18.0	14.9	14.2	1.6	1.6	1.3	1.2

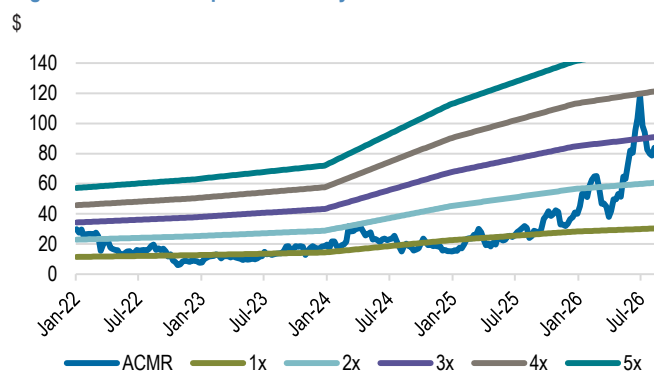
Source: J.P. Morgan estimates, Bloomberg Finance L.P. Note: ACMR US stock was listed on the NASDAQ Exchange in November 2017.

Figure 1: ACM share price vs. one-year forward P/E



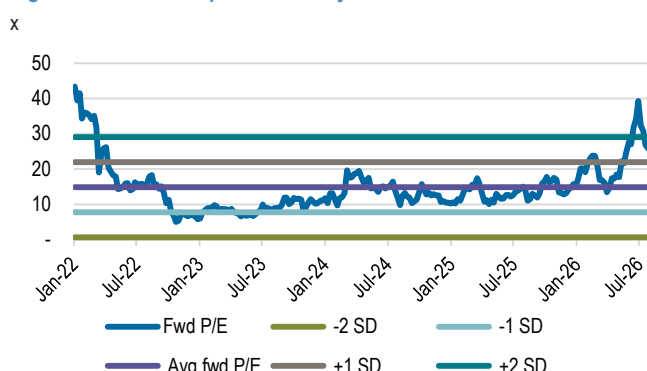
Source: Bloomberg Finance L.P., J.P. Morgan estimates. Note: Past performance is not an indicator of future results.

Figure 3: ACM share price vs. one-year forward P/B



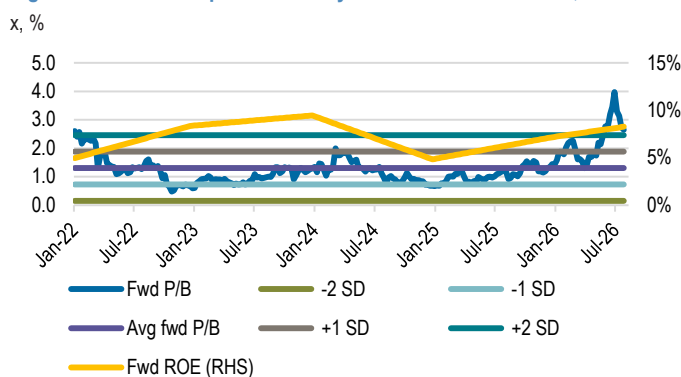
Source: Bloomberg Finance L.P., J.P. Morgan estimates. Note: Past performance is not an indicator of future results.

Figure 2: ACM share price vs. one-year forward P/E with SD



Source: Bloomberg Finance L.P., J.P. Morgan estimates. Note: Past performance is not an indicator of future results.

Figure 4: ACM share price vs. one-year forward P/B with SD; ROE



Source: Bloomberg Finance L.P., J.P. Morgan estimates. Note: Past performance is not an indicator of future results.

Table 5: ACMR's peer valuation table

Company	Ticker	Price (LC)	Mkt Cap (\$Mn)	P/E (x)		EV/EBITDA (x)		P/BV (x)		EPS growth (%)		ROE (%)		Price YTD
				FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	
ACMR*	ACMR US	84	5,837	32.3	24.4	24.1	15.1	3.0	2.7	78.4	32.2	7.2	9.0	112%
US & EU SPE - SMID Cap	Median Average			44.4	29.4	30.9	20.8	4.5	3.6	1.3	70.2	11.8	11.9	100%
				41.9	27.1	29.8	22.7	5.4	4.1	-1.5	56.9	15.1	11.9	93%
Camtek	CAMT US	155	7,248	44.4	34.1	40.5	30.2	9.0	6.2	7.2	30.2	24.1	N/A	46%
ACMR	ACMR US	84	5,837	50.0	29.4	28.8	19.1	2.7	2.4	4.2	70.2	8.4	10.3	112%
Aixtron	AIXA GY	40	5,259	53.6	29.7	32.1	18.9	4.5	3.6	-1.6	80.3	8.6	13.4	132%
Kulicke & Soffa	KLIC US	91	4,778	27.2	15.5	16.7	N/A	N/A	N/A	nm	75.7	22.7	N/A	100%
Axcelis	ACLS US	140	4,332	34.2	26.6	30.9	22.5	N/A	N/A	-15.9	28.3	11.8	N/A	75%
A-share SPE - Front-End	Median Average			107.2	67.5	103.3	66.7	13.9	11.6	81.8	44.1	13.4	16.4	113%
				160.2	93.7	161.5	94.1	16.8	14.2	130.1	60.0	13.4	17.4	108%
NAURA	002371 CH	752	80,930	71.0	49.3	56.7	40.1	12.2	10.0	38.5	44.1	17.5	20.7	64%
AMEC	688012 CH	381	54,147	91.9	67.5	103.3	66.7	13.1	10.8	81.8	36.1	13.4	16.4	108%
Piotech	688072 CH	713	30,743	108.8	75.9	105.5	70.3	23.7	18.5	97.5	43.4	22.9	26.7	116%
ACMR-SH	688082 CH	313	22,391	107.2	61.4	90.4	54.8	10.3	9.0	-5.8	74.7	10.0	15.7	78%
Hwatsing	688120 CH	259	19,069	79.8	62.2	74.5	57.3	13.9	11.6	47.7	28.4	16.6	18.6	142%
Skyverse	688361 CH	360	18,804	351.1	189.8	403.5	227.7	23.0	20.6	470.0	85.0	6.6	11.0	135%
Kingsemi	688037 CH	316	9,445	312.0	149.8	296.6	141.9	21.3	18.9	181.1	108.3	6.9	12.8	113%
A-share SPE - Back-End	Median Average			106.4	84.2	93.5	70.3	21.5	17.0	49.9	46.9	18.6	22.8	222%
				197.8	131.0	93.5	70.3	30.3	24.0	49.9	44.5	21.6	24.5	211%
Semight	688808 CH	2,061	31,359	399.4	249.3	N/A	N/A	64.1	51.3	N/A	60.2	15.9	20.5	N/A
Chang Chuan	300604 CH	286	27,413	87.5	59.6	81.5	56.0	27.1	19.0	54.2	46.9	33.4	34.7	183%
Huafeng	688200 CH	414	12,324	106.4	84.2	105.5	84.5	15.9	15.0	45.5	26.4	16.2	17.8	222%
JHT Design	603061 CH	317	4,094	N/A	N/A	N/A	N/A	14.0	10.7	N/A	N/A	21.0	25.0	228%
H-/SG-share SPE														
ASMPT	522 HK	164	8,767	38.5	26.5	21.6	16.4	3.8	3.4	254.8	45.6	10.3	13.4	113%
AEM Holdings	AEM SP	9	2,287	43.0	28.1	26.8	19.2	5.2	4.5	298.1	53.1	13.0	16.8	432%
US & EU SPE - Large Cap	Median Average			43.1	32.1	34.9	25.9	22.2	16.1	50.1	41.7	51.2	55.3	74%
				45.3	31.6	35.4	25.0	23.7	16.3	66.2	42.4	50.6	54.1	80%
ASML	ASML NA	1,499	672,367	41.0	29.2	32.2	24.0	22.2	16.1	48.1	40.4	60.2	60.8	63%
Applied Materials	AMAT US	539	428,055	43.2	31.1	37.0	26.3	16.4	13.2	32.4	38.8	42.3	49.9	110%
Lam Research	LRCX US	311	389,599	54.7	33.4	44.9	27.2	33.3	19.9	39.6	60.3	66.5	79.6	82%
KLA	KLAC US	198	258,840	53.4	36.0	40.7	29.0	42.7	24.6	13.0	46.5	90.9	86.9	63%
ASMI	ASM NA	854	48,681	37.3	28.9	26.3	20.0	8.5	6.9	52.1	29.1	24.3	25.7	65%
Teradyne	TER US	379	59,302	43.0	33.1	32.8	25.6	16.0	12.9	122.5	30.0	42.0	42.1	96%
BE Semi	BESI NA	221	20,761	51.3	34.1	39.2	26.6	27.2	20.4	159.9	50.7	60.9	64.6	66%
Onto	ONTO US	308	15,130	38.6	27.0	30.0	21.4	N/A	N/A	61.7	43.0	17.9	23.1	95%
Japan SPE	Median Average			33.8	32.4	21.4	14.4	5.3	4.5	6.1	30.3	19.8	23.0	33%
				38.6	30.4	25.1	17.4	8.7	6.7	-104.8	39.5	20.6	23.7	39%
Tokyo Electron	8035 JT	56,550	167,060	47.2	34.4	37.5	24.1	12.5	10.8	6.1	30.9	27.6	34.4	65%
Advantest	6857 JT	33,960	156,907	73.8	39.7	50.6	29.0	34.5	20.3	135.6	65.9	55.0	58.7	73%
HOYA	7741 JT	26,255	55,493	35.6	32.4	23.7	20.7	9.0	8.5	27.9	9.0	24.9	26.1	11%
Disco	6146 JT	62,750	42,968	52.0	36.8	33.9	24.6	11.9	9.7	9.3	36.5	24.2	28.3	30%
Canon	7751 JT	4,632	38,995	12.6	11.7	9.8	9.3	1.1	1.1	0.0	8.0	9.2	9.6	0%
Lasertec	6920 JT	39,560	23,543	45.7	35.2	32.9	25.5	14.0	11.0	-8.1	30.3	33.7	35.0	33%
Ebara	6361 JT	5,575	16,097	24.4	21.7	14.9	12.6	4.4	3.9	37.3	12.4	18.8	18.6	51%
SCREEN HD	7735 JT	13,135	15,815	28.1	21.1	17.3	13.1	5.3	4.5	-4.9	27.7	19.8	22.1	72%
KOKUSAI	6525 JT	7,981	11,996	63.8	34.5	35.3	20.4	8.7	7.3	-16.6	79.5	14.2	23.0	45%
Nikon	7731 JT	2,067	4,351	N/A	69.0	N/A	14.0	1.1	1.2	-1,564.6	111.4	-3.1	2.3	18%
Tokyo Seimitsu	7729 JT	17,975	4,798	32.0	23.1	19.0	14.4	3.9	3.5	-3.7	27.6	12.4	16.0	62%
ULVAC	6728 JT	9,137	2,846	24.2	19.3	11.8	8.9	1.9	1.8	11.4	25.1	8.2	10.0	29%
Shibaura	6590 JT	4,255	1,876	24.2	16.8	14.0	10.1	5.0	4.0	8.1	49.0	22.2	23.7	12%
Taiwan SPE	Median Average			42.7	27.3	36.9	21.7	15.1	11.2	65.9	52.7	33.6	45.9	135%
				42.6	27.7	34.4	21.3	17.9	15.3	68.3	54.5	35.6	46.8	145%
Hon. Precision	7769 TT	6,280	35,080	48.6	28.6	38.4	22.4	15.9	11.3	70.8	69.9	35.2	47.0	84%
Chroma	2360 TT	2,030	26,800	45.5	30.5	38.9	24.6	20.5	15.5	61.1	49.2	50.7	58.8	162%
All Ring	6187 TT	1,090	3,323	40.0	26.1	35.3	21.1	13.3	10.1	82.9	53.3	31.8	44.5	199%
Ableprint	7734 TT	3,455	3,003	50.3	33.0	40.1	26.6	36.5	38.0	105.2	52.2	32.0	57.8	261%
Grand Process	3131 TT	2,470	2,244	36.5	24.3	30.3	17.6	14.3	11.1	45.1	55.6	40.3	44.8	58%
Scientech	3583 TT	693	1,736	34.8	23.7	23.3	15.4	7.2	5.9	44.7	46.9	23.5	27.7	107%

Source: Bloomberg Finance L.P. and J.P. Morgan estimates. Note: Share prices as of 7 August 2026 close. JPMe for ACMR and BBGe for others.

Earnings forecasts – ACM Research (ACMR US)

Figure 5: ACM Research quarterly and annual income statement

(GAAP Basis)	2025				2026E				2027E				2020	2021	2022	2023	2024	2025	2026E	2027E
(\$mn, \$, %)	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q								
Revenue	172	215	269	244	231	293	308	348	327	383	448	510	157	260	389	558	782	901	1,180	1,670
Semicon Cleaning Equipment	130	155	182	160	122	133	182	201	159	166	222	252	131	189	273	404	579	626	638	799
ECP, Furnace & Others	28	48	60	64	84	129	93	109	126	161	167	196	13	33	77	103	151	200	414	650
AP WP Equipment & Others	15	12	28	21	25	31	33	38	42	57	60	63	12	37	38	51	52	76	127	221
Total COGS	90	111	156	145	124	158	168	188	177	207	240	273	87	145	205	282	391	501	638	897
Depreciation & Amortization	3	3	4	6	5	6	7	7	8	9	9	9	1	2	5	8	10	16	26	36
Gross profit	83	104	113	100	107	135	140	160	150	176	208	237	70	115	184	276	392	400	542	772
Operating expense	57	73	84	77	71	85	89	103	104	104	120	130	48	76	125	180	241	291	348	458
Operating income	26	32	29	23	36	50	51	57	47	73	88	107	21	39	59	96	151	109	194	314
Total Non-OP	1	6	20	-2	-5	86	-15	7	7	6	7	6	-2	4	8	20	15	26	73	26
Pre-tax profit	27	38	49	21	31	136	35	65	54	79	95	113	19	43	67	116	166	135	267	340
Tax expense (credit)	2	2	3	7	4	13	4	6	5	8	9	11	-2	0	17	19	35	13	27	34
Minorities	5	7	11	6	9	33	8	15	12	17	20	24	3	5	11	20	28	29	65	74
Net profit reported	20	29	36	8	19	89	24	43	37	54	65	77	19	38	39	77	104	93	175	233
EPS (US\$, GAAP)	0.32	0.45	0.56	0.12	0.29	1.31	0.35	0.64	0.54	0.79	0.95	1.14	0.34	0.65	0.66	1.29	1.67	1.45	2.60	3.43
Margins (%)																				
Gross Margin	47.9	48.5	42.0	40.9	46.4	46.0	45.5	46.0	46.0	46.0	46.5	46.5	44.4	44.2	47.2	49.5	50.1	44.4	45.9	46.2
- OPEX ratio	32.9	33.8	31.3	31.4	30.7	29.0	29.0	29.5	31.7	27.0	26.8	25.5	30.7	29.3	32.0	32.3	30.8	32.2	29.5	27.4
Operating Margin	15.0	14.7	10.7	9.4	15.6	17.0	16.5	16.5	14.3	19.0	19.7	21.0	13.7	14.9	15.2	17.2	19.3	12.1	16.4	18.8
EBITDA Margin	16.7	16.3	12.2	11.8	18.0	19.1	18.6	18.6	16.8	21.4	21.7	22.8	14.4	15.8	16.6	18.6	20.6	13.9	18.6	21.0
Net Margin	11.8	13.5	13.3	3.3	8.1	30.4	7.7	12.4	11.2	14.1	14.4	15.2	12.0	14.5	10.1	13.9	13.2	10.4	14.8	13.9
Sequential Growth (%)																				
Revenue	-23	25	25	-9	-5	27	5	13	-6	17	17	14								
Gross Profit	-26	27	8	-12	7	26	4	14	-6	17	18	14								
EBIT	-41	23	-9	-20	57	37	2	13	-19	56	21	21								
Net Profit reported	-34	42	24	-78	133	374	-73	82	-15	47	20	19								
EPS	-35	41	23	-78	131	359	-73	82	-15	47	20	19								
YoY Growth (%)																				
Revenue	13	6	32	9	34	36	14	42	42	31	46	47		66	50	43	40	15	31	41
Gross Profit	4	8	8	-10	30	29	24	60	40	31	49	48		65	60	50	42	2	35	43
OPEX	5	23	39	15	25	17	6	34	46	22	35	27		58	64	45	33	21	20	32
EBIT	2	-16	-35	-48	40	57	75	149	29	46	74	87		80	53	62	58	-28	77	62
Net Profit reported	17	20	16	-74	-8	207	-34	438	96	-39	172	79		101	4	97	34	-10	87	33
EPS	13	17	13	-75	-11	189	-37	416	90	-39	172	79		91	1	94	30	-13	78	32
Revenue mix (%)																				
Semicon Cleaning Equipment	75	72	67	65	53	45	59	58	49	43	49	49	84	73	70	72	74	69	54	48
ECP, Furnace & Others	16	22	22	26	36	44	30	31	39	42	37	38	9	13	20	19	19	22	35	39
AP WP Equipment & Others	9	6	10	8	11	11	11	11	13	15	13	12	8	14	10	9	7	8	11	13
Revenue YoY (%)																				
Semicon Cleaning Equipment	18	1	13	3	-5	-14	0	26	30	25	22	25		44	44	48	43	8	2	25
ECP, Furnace & Others	7	23	73	24	205	168	55	70	50	25	80	80		149	133	33	46	32	108	57
AP WP Equipment & Others	-10	20	231	24	62	153	20	85	70	80	80	65		210	3	32	3	45	68	74

Source: Company data and J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

ACM Research *(Overweight; Price Target: \$110.00)*

Investment Thesis

WFE is our preferred sector pick in both the China and global semiconductor spaces. We are OW on ACM Research. ACM Research holds a 73% stake in its operating subsidiary, ACM Research (Shanghai). As the third-largest Chinese WFE maker, ACM-SH leads in cleaning and ECP, while expanding into furnace, PECVD and track. We like ACMR's strengthening leadership in cleaning, WFE SAM expansion, advanced packaging solutions, and solid Chinese fab/OSAT customer base.

Valuation

Our Jun-27 PT of \$110 is based on a 32x 2027E P/E, above the historical average plus 2STD of 29x since Jan-022. The higher target multiple reflects structural China WFE demand, a re-rating of global WFE stocks, on-track migration to a "platform" business model, and ongoing global customer expansion.

Risks to Rating and Price Target

Key downside risks include: (1) slower capacity expansion of Chinese fabs; (2) growing competition among Chinese WFE vendors; and (3) ACM's slower business development for new equipment.

ACM Research: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly				
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E
Revenue	782	901	1,180	1,670	-	Revenue	231	293	308	348
COGS	(391)	(501)	(638)	(897)	-	COGS	(124)	(158)	(168)	(188)
Gross profit	392	400	542	772	-	Gross profit	107	135	140	160
SG&A	(135)	(146)	(162)	(207)	-	SG&A	(35)	(43)	(40)	(45)
Adj. EBITDA	161	126	220	350	-	Adj. EBITDA	42	56	57	65
D&A	(10)	(16)	(26)	(36)	-	D&A	(5)	(6)	(7)	(7)
Adj. EBIT	151	109	194	314	-	Adj. EBIT	36	50	51	57
Net Interest	17	8	17	15	-	Net Interest	3	5	5	5
Adj. PBT	166	135	267	340	-	Adj. PBT	31	136	35	65
Tax	(35)	(13)	(27)	(34)	-	Tax	(4)	(13)	(4)	(6)
Minority Interest	(28)	(29)	(65)	(74)	-	Minority Interest	(9)	(33)	(8)	(15)
Adj. Net Income	104	93	175	233	-	Adj. Net Income	19	89	24	43
Reported EPS	1.67	1.45	2.60	3.43	-	Reported EPS	0.29	1.31	0.35	0.64
Adj. EPS	1.67	1.45	2.60	3.43	-	Adj. EPS	0.29	1.31	0.35	0.64
DPS	0.11	0.15	0.13	0.23	-	DPS	-	-	-	-
Payout ratio	6.8%	10.2%	5.0%	6.8%	-	Payout ratio	-	-	-	-
Shares outstanding	62	64	67	68	-	Shares outstanding	66	68	68	68
Balance Sheet & Cash Flow Statement						Ratio Analysis				
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	444	1,133	1,414	1,112	-	Gross margin	50.1%	44.4%	45.9%	46.2%
Accounts receivable	387	504	572	839	-	EBITDA margin	20.6%	13.9%	18.6%	21.0%
Inventories	598	703	825	1,198	-	EBIT margin	19.3%	12.1%	16.4%	18.8%
Other current assets	1,039	1,304	1,524	2,223	-	Net profit margin	13.2%	10.4%	14.8%	13.9%
Current assets	1,483	2,437	2,938	3,335	-	ROE	12.4%	7.9%	10.3%	11.5%
PP&E	283	310	513	557	-	ROA	6.2%	3.9%	5.4%	6.1%
LT investments	37	66	89	89	-	ROCE	12.2%	6.9%	8.7%	11.8%
Other non current assets	89	125	131	138	-	SG&A/Sales	17.3%	16.2%	13.8%	12.4%
Total assets	1,856	2,872	3,582	4,030	-	Net debt/equity	NM	NM	NM	NM
Short term borrowings	79	109	155	194	-	P/E (x)	50.3	57.6	32.3	24.4
Payables	155	215	578	839	-	P/BV (x)	5.8	3.7	3.0	2.7
Other short term liabilities	406	421	200	200	-	EV/EBITDA (x)	33.5	40.4	22.4	14.8
Current liabilities	641	746	932	1,233	-	Dividend Yield	0.1%	0.2%	0.2%	0.3%
Long-term debt	109	179	196	196	-	Sales/Assets (x)	0.5	0.4	0.4	0.4
Other long term liabilities	119	196	208	213	-	Interest cover (x)	NM	NM	NM	NM
Total liabilities	760	942	1,141	1,445	-	Operating leverage	143.0%	(180.6%)	249.5%	150.0%
Shareholders' equity	905	1,464	1,919	2,136	-	Revenue y/y Growth	40.2%	15.2%	30.9%	41.5%
Minority interests	191	466	522	449	-	EBITDA y/y Growth	68.0%	(21.9%)	74.8%	59.6%
Total liabilities & equity	1,856	2,872	3,582	4,030	-	Tax rate	21.1%	9.8%	10.2%	10.0%
BVPS	14.41	22.49	28.26	31.46	-	Adj. Net Income y/y Growth	34.0%	(9.9%)	87.3%	33.2%
y/y Growth	14.1%	56.1%	25.6%	11.3%	-	EPS y/y Growth	29.6%	(12.7%)	78.4%	32.2%
Net debt/(cash)	(255)	(845)	(1,062)	(721)	-	DPS y/y Growth	70.3%	30.9%	(13.1%)	79.6%
Cash flow from operating activities	69	(80)	121	(169)	-					
o/w Depreciation & amortization	10	16	26	36	-					
o/w Changes in working capital	(45)	(190)	(79)	(437)	-					
Cash flow from investing activities	(65)	(81)	(234)	(87)	-					
o/w Capital expenditure	(76)	(43)	(228)	(80)	-					
as % of sales	9.7%	4.8%	19.4%	4.8%	-					
Cash flow from financing activities	132	820	328	(119)	-					
o/w Dividends paid	(7)	(9)	(8)	(16)	-					
o/w Net debt issued/(repaid)	90	99	63	39	-					
Net change in cash	135	658	216	(375)	-					
Adj. Free cash flow to firm	(8)	(124)	(107)	(249)	-					
y/y Growth	(96.0%)	1547.9%	(13.6%)	132.5%	-					

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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ACM Research (ACMR, ACMR US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 28, 2025. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan’s continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period. J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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Coverage Universe: Huang, Jimmy : ACM Research (ACMR), ACM Research (Shanghai) (688082.SS), All Ring Tech (6187.TW), GlobalWafers Co., Ltd (6488.TWO), Grand Process Technology (3131.TW), Hon. Precision (7769.TW), Macronix (2337.TW), NCE Power - A (605111.SS), SICC - A (688234.SS), Scientech (3583.TW), StarPower Semiconductor - A (603290.SS), United Nova - A (688469.SS), Winbond (2344.TW)

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